INVESTMENTS | INSTITUTIONAL EQUITY RESEARCH

OCTOBER 28, 2026 · EARNINGS DEEP DIVE

ALPHABET
GOOGL

Q3 2026 post-earnings
Refresh / Re-underwrite

A remarkable AI growth engine meets an unprecedented capital-allocation test. Cloud doubled, Search remains resilient, but the cash conversion and financing model have changed materially.

RESEARCH POSTURE	CONVICTION	BASE BLENDED VALUE
HOLD	**7 / 10**	**$295**

Alphabet Inc. · Class A ticker GOOGL; portfolio holds GOOG Class C

Independent research | Not published

JUMP TO ANALYSIS

01 Verdict 02 What changed 03 Quarter 04 Earnings call 05 Earnings quality 06 Capital & cash 07 Valuation 08 Portfolio 09 Checkpoints 10 Sources

01 Executive investment verdict

Research HOLD; 7/10 conviction (unchanged): Alphabet's competitive moat remains formidable and Cloud has emerged as a major independent earnings pillar. The investment case is now constrained by a much higher cash-flow recovery hurdle, extraordinary forward capacity commitments, issuance of equity and debt, and the lack of precise TPU-system economics.

REVENUE	CLOUD	CLOUD OP. INCOME	FREE CASH FLOW
$127.6B	**$30.7B**	**$11.1B**	**−$9.1B**
+25% year over year	+103% year over year	36.2% segment margin	$51.4B Q3 capex

> **The next-dollar decision:** Existing holders can maintain a core position while monitoring contract cash conversion and 2027 capex. Avoid treating a −10% after-hours move as an automatic bargain. Research-based staged-review levels: **$270–280** on stabilization and improving cash evidence; **$240–260** only if downside occurs without an accompanying thesis deterioration. These are conditional review gates, not limit orders or Portfolio CIO directives.

Observed market setup: GOOGL closed at $324.89 on October 28 and was quoted at about **$289.43** at 5:34 p.m. EDT, or −10.9% after hours. The $289.43 indicative price is used in valuation; it is not a closing price and may change. [S6] [S7]

COMPANY QUALITY	VALUATION ATTRACTIVENESS	PORTFOLIO FIT
8.5/10	**5.5/10**	**7/10**
Multiple distribution moats and proprietary compute stack; capital execution risk increasing.	Multiple looks lower after selloff, but FCF yield and embedded recovery are demanding.	Strong growth diversification within tech, but material AI-capex overlap. Canonical version mismatch disclosed below.

Source tags in brackets map to the source ledger. All valuations and ratings are analyst judgments, not Alphabet guidance or current sell-side consensus.

02 What changed from October 20?

DRIVER	PRIOR UNDERWRITING	POST-PRINT INTERPRETATION
Search	Q2 +17%; monetization and AI substitution central risk.	Q3 +12%, but management reports fastest query growth in five years. Traffic health appears positive; advertiser monetization per AI query still undisclosed.
Google Cloud	Q2 +82% to $24.8B; strong 2026 acceleration.	Q3 +103% to $30.7B; +$11.1B operating income. High growth partially reflects TPU system deliveries; split undisclosed.
Free cash flow	Q2 −$5.855B.	Q3 −$9.065B; TTM only $19.747B. Working capital/EC fine create some temporary pressure but real capex dominates.
Balance sheet & commitments	High investment; financing and dilution monitored.	$125.1B long-term debt, $265.1B cash and securities including equity holdings, plus $924B maximum purchase commitments and $152B pre-commencement leases/other obligations.

Valuation framework	Oct. 20 base DCF $359, blended FV ~$374 based on earlier earnings/cash expectations.	Underwriting reset: provisional base DCF ~$279, earnings/DCF blend ~$295. Higher capital-intensity burden offsets the Cloud upside.

Prior October 20 data: user's existing GOOG research registry (report ID equity-research-goog-refresh-2026-10-20). New earnings and call: [S1] [S2] [S4] [S8]

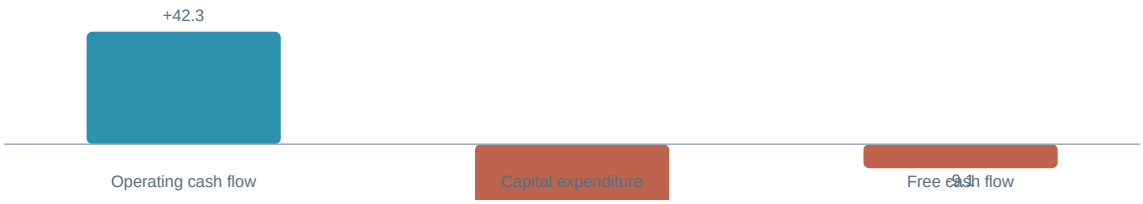
03 Quarter: robust businesses, uneven financial optics

METRIC	Q3 '25	Q3 '26	CHANGE / READ
Total revenue	$102.346B	$127.577B	+24.7%
Google Search & other	$56.567B	$63.350B	+12.0%
YouTube advertising	$10.261B	$11.207B	+9.2%
Services total	$87.052B	$96.302B	+10.6%
Cloud revenue	$15.157B	$30.709B	+102.6%
Cloud operating income	$3.594B	$11.121B	+209.4%
Consolidated op. income	$31.228B	$40.576B	+29.9%
Consolidated op. margin	30.5%	31.8%	+1.3 pts
GAAP diluted EPS	$2.87	$2.12	−26.1%

Consensus comparison: Visible Alpha's pre-print consensus (as reported by Investopedia) was approximately **$127.86B revenue**, **$29.15B Cloud revenue**, and **$2.96 GAAP EPS**. Versus that consistent snapshot, total revenue missed by ~$0.28B (−0.2%), Cloud exceeded expectations by ~$1.56B (+5.3%), and headline EPS missed by $0.84. Other providers published revenue and EPS estimates that differed by snapshot and methodology; do not infer uniform consensus. [S5]

Growth decomposition: Google Cloud contributed about $15.55B of the $25.23B consolidated year-over-year revenue increase (≈62%). Search still generates much of the consolidated profit via Services (40.7% segment operating margin), while Cloud is now a major incremental operating profit contributor. Hardware-related system revenue can alter reported Cloud mix and cash timing. [S2] [S4]

Operating cash flow, capex and free cash flow | Q3 2026 ($ billions)



FCF = net operating cash flow less capital expenditure. Negative FCF is not equal to negative operating earnings.

04 Earnings call: five decision-relevant debates

1 / AI Search — volume vs yield

Doug Anmuth (JPMorgan) asked why Search revenue slowed while query growth was fastest in years. Management emphasized the AI-driven volume increase; it did not supply granular AI-query ad yield or profit economics. **Falsifier:** AI usage rises while Search growth weakens for multiple quarters.

2 / TPU sales — revenue vs margin

Ross Sandler (Barclays) requested system-sales revenue and profitability details. CFO said no product-level margin disclosure; inventory is built after signed contracts. This is a meaningful cash-conversion distinction, not proof all hardware revenue earns software-like economics.

3 / Cloud without TPU hardware

Mark Shmulik (AllianceBernstein) asked about organic Cloud growth excluding system sales. Cloud CEO called it very strong but did not quantify it. The absence of a segment bridge limits confidence in a 103% run-rate extrapolation.

4 / Agentic search monetization

Justin Post (Bank of America) pressed on whether agentic flows disintermediate ad inventory. Management characterized agents as additive and sees advertising and subscriptions as opportunities. Conversion economics remain unproven.

5 / AI capacity allocation

Eric Sheridan (Goldman Sachs) questioned capital prioritization. CEO cited long-range ROIC analysis across businesses. CFO anticipates positive ROIC above cost of capital but did not provide project-level historical realized returns.

6 / Cloud supply and commitments

Cloud backlog reached **$561B**, with slightly more than 55% expected to be recognized in 24 months. Third-party bridging capacity will weigh on Q4 Cloud margins, even if it supports more revenue. Demand strength alone does not establish incremental free cash flow.

Source: October 28 earnings-call transcript, cross-checked to the issuer event page. Automated transcript may contain errors in speaker names or phrasing; quantitative GAAP facts are taken from the release. [S3] [S4]

Related listed-equity read-through

Management identified or discussed **Broadcom** in the TPU ecosystem, along with **Anthropic, Apple, Oracle, CoreWeave** and competing or complementary accelerators. TPU adoption supports custom silicon and systems integration demand; it creates potential share competition for general-purpose accelerators but does not establish a near-term NVIDIA demand loss. For holdings such as AVGO, NVDA, TSM and ASML, the central issue is whether expanding aggregate compute budgets and hardware diversity offset potential wallet-share changes. [S4]

05 EPS quality: distinguish accounting marks from operations

> **Headline GAAP EPS fell 26%, but underlying operating income rose 30%.** The two figures are not contradictory. Other income/expense swung from **+$12.759B** in Q3 2025 to **−$8.221B** in Q3 2026, largely related to investment revaluations including SpaceX according to CFO commentary. [S2] [S4]

BRIDGE, ANALYST-ILLUSTRATIVE	Q3 '25	Q3 '26
Reported diluted EPS	$2.87	$2.12
Adjustment for entire other-income line at period effective tax rate	−$0.83	+$0.54
Illustrative EPS absent entire net OI&E line	**$2.04**	**$2.66**

This approximation removes *all* net other income/expense rather than just unrealized SpaceX marks; uses each quarter's reported effective tax rate and reported diluted share count; and is **not company adjusted EPS, nor a reliable recurring EPS forecast**. It simply reveals why the headline EPS comparison can mislead. GAAP operating income growth is the cleaner confirmed signal.

Important contrary evidence: operating expenses, especially R&D and depreciation, still grow rapidly; Q3 operating margin (31.8%) was below the Q2 2026 level (~34%). A temporary mark-to-market loss does not excuse a structurally weakening cash return. [S2] [S4] [S8]

06 Capital spending, commitments and balance-sheet quality

METRIC (AS REPORTED)	Q3 2026 / TTM	INVESTOR INTERPRETATION
Q3 operating cash flow	$42.290B	Strong operating engine; includes working capital and $5.2B EC fine outflow.
Q3 capex	$51.355B	Outspends cash generated during the quarter.
TTM operating cash flow	$179.551B	Significant underlying cash generation.
TTM capex	$159.804B	Almost 89% of operating cash flow.
TTM free cash flow	$19.747B	FCF yield around 0.55% at the ~$3.58T illustrative after-hours equity capitalization.

Cash and marketable securities	$265.1B	Includes ~$90.4B equity securities (mark-to-market sensitive).
Long-term debt	$125.1B	Debt financing now part of investment cycle; not equivalent to total gross debt.
Maximum purchase commitments	$924B	Multi-year commitments, pricing/volume flexibility; not funded cash debt today.
Pre-commencement leases and obligations	$152B	Additional future exposure; avoid summing with debt as an immediately payable amount.

Financing: Alphabet issued 36 million combined Class A and C common shares in Q3 for approximately $12.4B net proceeds under its ATM program, and issued ~$28.7B of senior unsecured notes. Those proceeds and share count deserve greater attention than the historical buyback narrative. Equity dilution can reduce the per-share benefit of operating growth. [S2] [S4]

Why cash may improve: management says the quarter contained inventory build for signed TPU system contracts and a ~$5.2B EC fine cash payment. Cash release from inventory conversion can help future OCF. **Why it might not:** 2027 capex is expected to increase significantly, outsourced compute has lower near-term margin, and data-center depreciation and power costs will keep rising. Both must appear in the forward model.

> **Capital allocation checkpoint:** request a disclosure of TPU systems backlog conversion, cash collection, gross margin, third-party capacity economics, cumulative project ROIC and 2027–29 capex. Without those, current "strong ROIC" commentary is an assertion, not verified incremental economic value.

07 Valuation — DCF, reverse DCF and scenarios

Price anchor: ~$289.43 after hours on October 28, 2026, versus a $324.89 regular-session close. All valuations below are illustrative independent research, not refreshed street consensus. Both ticker classes have nearly identical economics; actual market prices can differ. [S6] [S7]

RESEARCH BASE-CASE DCF

$279

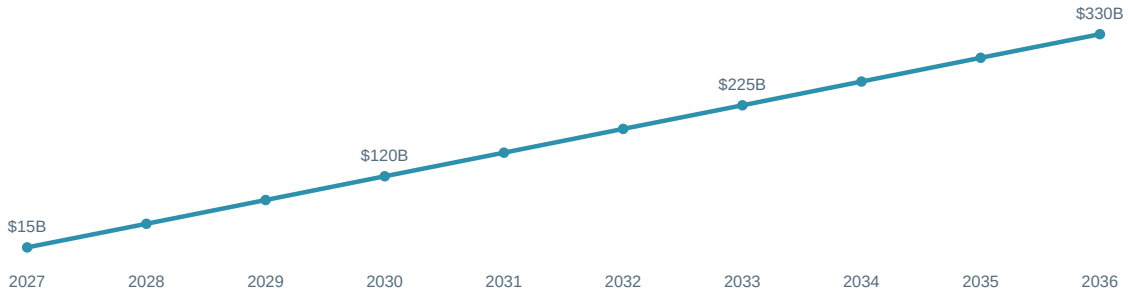
10-year levered-free approximation using 2027–36 FCF $15B→$330B, 9.0% discount rate, 3.0% terminal growth, $100B approximate cash/debt bridge and 12.35B diluted shares.

BLENDED BASE VALUE

$295

60% illustrative FY2028 normalized $17 EPS × 18× = $306 and 40% $279 DCF. Roughly +2.0% before dividends relative to after-hours price.

Base-case annual free cash flow assumptions, 2027–2036 ($ billions)



Model inputs, not forecasts published by Alphabet, consensus, or audited statements. Designed to test whether cash conversion after the investment peak could justify the equity price.

SCENARIO	2036 FCF	WACC / TERMINAL G	DCF/SHARE	2028 EPS × P/E	BLENDED/SHARE	VS. $289.43
Bear	$185B	10.5% / 2.5%	$118	$12.0 × 16×	**$162**	-44%
Base	$330.0B	9.0% / 3.0%	$279	$17.0 × 18×	**$295**	+2%

Bull	$480B	8.5% / 3.5%	$479	$20.5 × 25×	**$499**	**+72%**

Scenario meanings: Bear — higher cost of capital, continued capital intensity and weaker Search/Cloud monetization; Base — strong Cloud monetization with staged capital normalization; Bull — TPU systems and AI Search create durable high-return growth with markedly better cash conversion. **The bear downside is intentionally large** given the terminal value dependence and funding commitments. No statistical probability is assigned to these cases.

Reverse DCF: what the quote requires

Holding the base model's 9.0% discount rate, 3.0% terminal growth, $100B net asset bridge and 12.35B shares constant, and assuming FCF grows linearly from **$15B in 2027**, the ~$289.43 quote requires roughly **$343B of annual 2036 FCF**. That is about **17.4×** current TTM FCF. This is a demanding outcome, though the 2026 cash trough makes the ratio unusually extreme. A stronger or weaker capex recovery changes the implied requirement substantially.

Traditional multiples, PEG and historical context

On the previous Oct. 20 FY2027 EPS reference of **$15.35** (old third-party, pre-print, not updated consensus), $289.43 would represent **18.9×** forward EPS. That number is *provisional*, as estimates may now change following the print. Reported trailing P/E is unreliable because prior quarters had enormous unrealized gains on holdings; TTM FCF yield (~0.55%) paints a much less inexpensive picture. **PEG: not reliable** until normalized EPS growth, dilution and FCF conversion are reconciled. The prior report's ~$374 blended FV has been reset lower primarily because the cash-recovery assumptions are now more explicit and less generous.

Sensitivity: Base DCF terminal value is highly material. With the base cash path, moving WACC to 10% (3% terminal growth) changes DCF to roughly $232; reducing terminal growth to 2% (9% WACC) changes it to roughly $249. The DCF is a stress test on long-duration economics, not a precise single-price target.

08 Portfolio fit, share class and sourcing

Share classes: GOOGL is Class A (voting); your portfolio's existing holding is **GOOG Class C (non-voting)**. The operating thesis is the same, but prices and voting rights differ; the numerical share-price anchors in this report are for GOOGL, while sensitivity on the GOOG holding is approximate.

Most recent explicit user export: retirement-portfolio-65.xlsx (SHA-256 `6da19acfa7f146f42a907d9b9762322d1dec2efcb5963beca3a10e142e52700e`) lists **145 GOOG shares**, $9,285.60 total cost basis, and 2.64% weight at the export's $314.19 price. That is a user-provided snapshot, not a live market weight.

> **Canonical source conflict:** the repository's `agent-state/portfolio/manifest.json` still designates **retirement-portfolio-63.xlsx** (whose checksum was verified). Export 65 was more recently designated by the user but is not yet reflected in this manifest. Both exports show 145 GOOG shares and identical cost basis, so the share-count sensitivity is supported by both, but the portfolio weight is not represented as a validated current canonical value. This report does not silently overwrite the portfolio manifest.

At an illustrative GOOG reference price around **$290**, 145 shares represent ~$42,050, before taxes and costs. A 10% further decline would imply about $4,205 in mark-to-market exposure. Portfolio concentration also reflects existing AMZN, MSFT, META, NVDA, AVGO, TSM and ASML exposures, with shared AI-demand and capex-cycle drivers. A final sizing decision belongs to the Portfolio CIO.

Research add discipline: the preferred decision is **HOLD the existing 145-share exposure** while waiting for a clearer cash conversion/2027 capital plan. An add becomes more attractive after a price margin of safety *and* proof that Cloud's incremental earnings translate to cash; do not add simply because a stock is down after hours.

09 Checkpoints, thesis-breaks and CIO handoff

CHECKPOINT	CONSTRUCTIVE EVIDENCE	CHALLENGE / THESIS-BREAK TRIGGER
Q4 2026 / FY2027 capex plan Next earnings call date unconfirmed	Explicit capex/OCF bridge and credible path to positive FCF at scale.	2027 spend steps up materially without revenue-to-cash conversion milestones.
Cloud organic growth	Breakout of core GCP growth excluding hardware; consistent margin disclosures.	Sharp slowdown in core platform growth while TPU systems flatter revenue.
TPU backlog conversion	Collections and inventory release on contracted deliveries; pricing stability.	Contract slippage, write-downs, counterparty stress or margin deterioration.
Search / AI mode	Commercial-query monetization keeps pace with usage and inference cost.	Two quarters of weak Search growth and falling economics despite rising usage.
Cash commitments & financing	Manageable maturity ladder, no structural net equity dilution.	Persistent negative FCF requires repeated issuance or unfavorable capital costs.
Antitrust & distribution	Remedies allow material continued access to Search distribution.	Binding regulatory changes durably weaken take rate, default placement or economics.

Strongest bull argument

AI expands Google Search activity rather than cannibalizing it; TPU systems broaden the addressable AI-infrastructure market and Cloud scales economically. Backlog supports multi-year visibility, Search funds experimentation, and enterprise adoption accelerates.

Strongest bear argument

Cloud revenue growth is partly hardware resale, while cash outlays, depreciation, third-party capacity and financing persist. Ads become less profitable per query; $924B of commitments turns an opportunity into a rigid funding burden.

Research conclusion: HOLD / MONITOR FOR ADD **7/10 conviction** as a research assessment. No change is made to Portfolio CIO's authoritative status or buy/hold/trim decision. **CIO review question:** after the post-print selloff, is the capital-intensity/dilution risk compensated enough to permit a staged add, or should Alphabet remain core-only until Q4 clarifies returns?

Open diligence questions: true recurring Cloud revenue growth excluding TPU sales; inventory aging and system gross margins; exact incremental ROIC by compute cohort; future commitment tenor and cancellation terms; cash/debt composition including equity securities; post-print independent FY2027/FY2028 EPS estimates; any new antitrust rulings.

10 Evidence ledger, method and limitations

1. **S1** — Alphabet Q3 2026 SEC Form 8-K (Oct. 28, 2026).
2. **S2** — Alphabet Q3 2026 results and financial tables (company release distributed via MarketScreener, Oct. 28).
3. **S3** — Alphabet official Q3 2026 earnings-call landing page and recording.
4. **S4** — Alphabet Q3 2026 call transcript (Benzinga, auto-transcribed; Oct. 28).
5. **S5** — Visible Alpha pre-earnings consensus cited by Investopedia (Oct. 26–28).
6. **S6** — GOOGL quote and close from Stock Analysis (Oct. 28).
7. **S7** — GOOGL after-hours quote Yahoo Finance (retrieved Oct. 28 around 5:34 p.m. ET).
8. **S8** — Alphabet Q2 2026 earnings release, SEC exhibit (Jul. 22).

Method and currency: all monetary amounts are U.S. dollars. The GAAP figures follow Alphabet's October 28 release, transcript covers management and analyst dialogue; consensus is explicitly pre-earnings; portfolio shares from user-supplied workbook export 65 cross-checked with manifest workbook 63. Calculated metrics may differ from sources due to rounding. The independent 10-year DCF is an illustrative model with published assumptions; it is not management guidance.

Limitations: same-day report before final Q3 Form 10-Q review; automated call transcript may have transcription errors; Q4 and 2027 guidance lacks explicit revenue/earnings targets; post-print consensus forecast changes unavailable; quoted after-hours price is a time-stamped snapshot and may diverge from the next regular session. The latest user export and agent manifest are inconsistent. Claims about future results are uncertain.